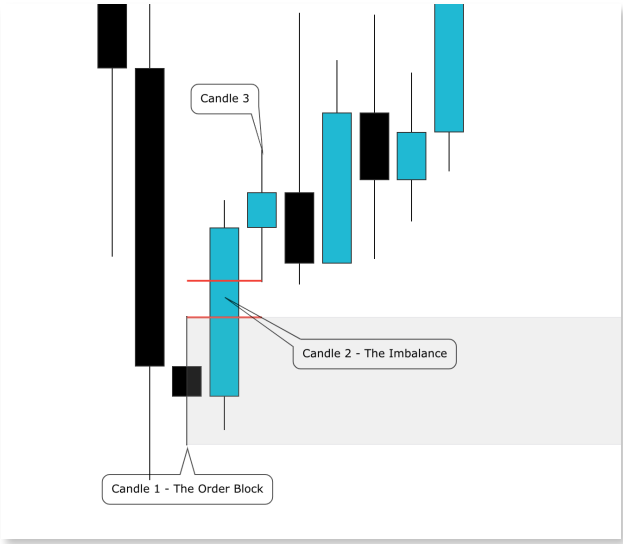


PRICE INEFFICIENCY

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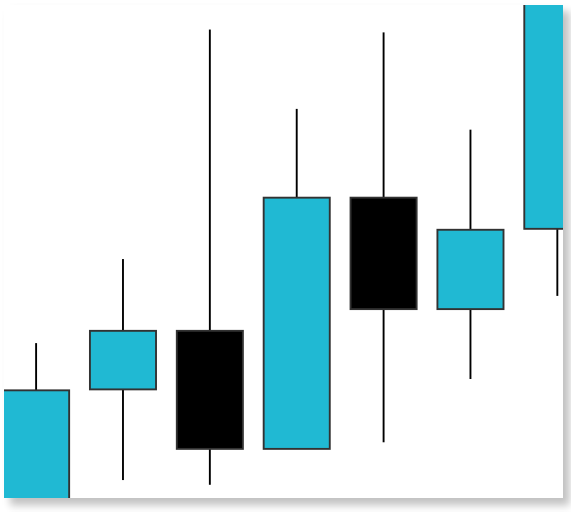
Price Inefficiency

Price inefficiencies are also known as imbalances, gaps or voids. Healthy price action moves in a zigzag fashion, making highs and lows in line with the directional bias at any given moment. When price isn't trending we find it consolidates, in which case highs lows are still being made. However, we may also see price move in straight lines with huge volume and momentum. When this happens, price finds itself unable to deliver price in an efficient manner. For example, in a bullish environment, price may continue to make higher highs without providing higher lows at a discount price. When price moves with this much momentum, it leaves behind imbalances.



An imbalance can be identified by open space in price action, where the wicks on either side of a candle do not match each other. On the left is an example of price inefficiency, since the wick high of candle 1 does not meet the wick low of candle 3, leading to an imbalance on candle 2.

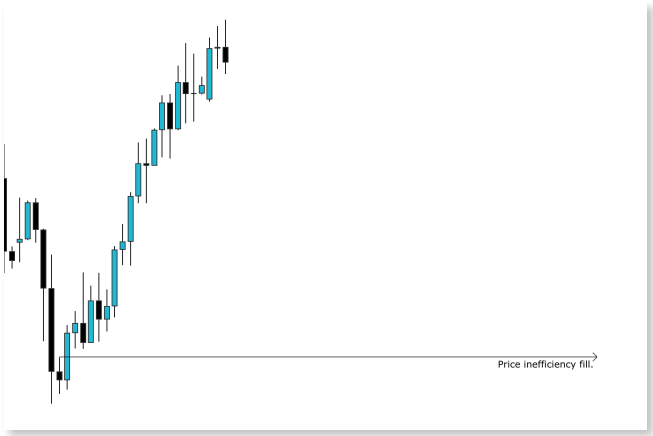
On the right is an example of healthy price action with no imbalances. This is because all candles have wicks on either side of them. Since wicks were bodies during live price action and are bodies on lower time frames, this shows that price was delivered efficiently to buyers and sellers in this area. Whereas the example above shows an imbalance on a bullish candle, which shows that price was only available to buyers in that imbalance and therefore is not efficient.

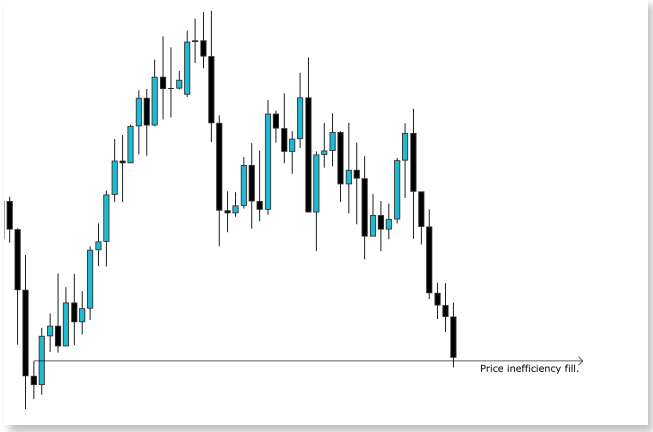


For price to be efficient, it needs to be delivered to buyers and sellers. This helps us understand that in our original bullish imbalance, price has to come back and fill that imbalance using bearish price action in order to make that price available to sellers.

This re-balancing could take hours, days, weeks or years, but it is our job to understand that it must happen at some point. Inline with the rest of the strategy, we can use this knowledge to pick out the specific imbalances that will be filled and how we can capitalise on this.

On the right is an example of the correctly identified imbalance and where we expect price to react from



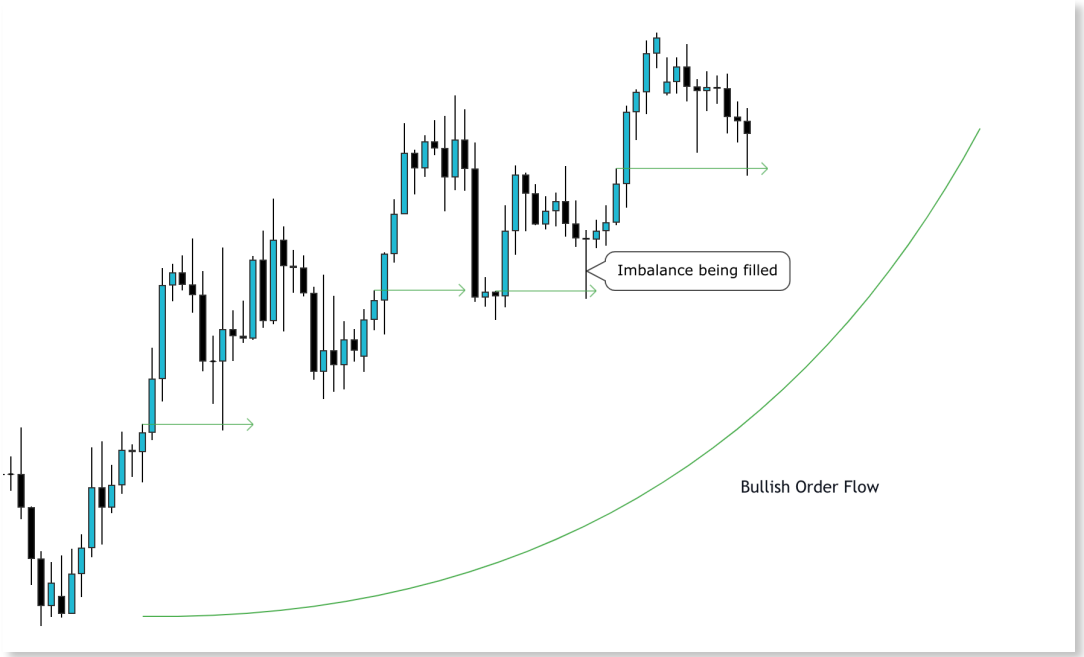


On the right is our level being met, it is at this point that we use the rest of the strategy and knowledge to capitalise on the move that is about to unfold with high risk:reward entries.

On the right is the completion of this particular market cycle, with our level being respected and price giving us a nice bullish leg.




Bearish Order Flow
Imbalances being filled


Imbalance being filled
Bullish Order Flow